

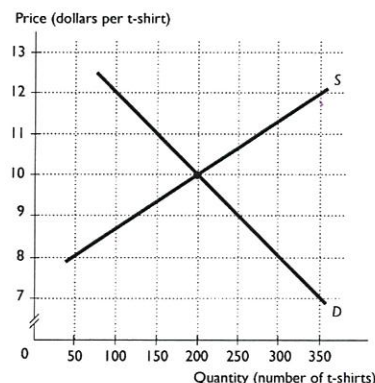
Section 1: Multiple Choice

(24 Marks)

This section has 24 questions. Answer all questions on the separate Multiple-choice Answer Sheet provided. Marks will not be deducted for incorrect answers. No marks will be given if more than one answer is completed for any question.

Suggested working time: 35 minutes

- If the price of mandarins increases, the price of oranges also rises because
 - consumers consider the two goods complements and so sellers decreased the supply of oranges.
 - consumers consider the two goods substitutes and demand for oranges increases.
 - if the supply of mandarins decreased, then the supply of oranges also must decrease.
 - buyers must have expected a higher price for oranges and thus increased their demand for oranges.
- Suppose that a just published report on the health effects of riding bicycles causes demand to increase. As a result of the increased demand, more firms enter the market to produce bicycles and the supply of bicycles increases. We can predict that
 - the prices of bicycles will increase.
 - the prices of bicycles will decrease.
 - the prices of bicycles will remain the same.
 - we cannot predict the price of bicycles with the information provided.
- The figure shows the market for t-shirts. If the price of t-shirts is \$12, then
 - there is a shortage and the price of t-shirts will fall.
 - there is a shortage and the price of t-shirts will rise.
 - there is a surplus and the price of t-shirts will rise.
 - there is a surplus and the price of t-shirts will fall.



See next page

- The price elasticity of demand for furniture is estimated at 1.3. This value means a one percent increase in the
 - price of furniture will increase the quantity of furniture demanded by 1.3 percent.
 - price of furniture will decrease the quantity of furniture demanded by 1.3 percent.
 - quantity of furniture demanded will decrease the price of furniture by 1.3 percent.
 - quantity of furniture demanded will increase the price of furniture by 1.3 percent.
- If Sam wants to increase her total revenue from her sales of flowers and she knows that the demand for flowers is price elastic, she should
 - lower her price to increase the demand and shift the demand curve rightward.
 - raise her price because she knows that the quantity demanded will also increase.
 - raise her price because she knows that the percentage decrease in the quantity demanded will be smaller than the percentage increase in price.
 - lower her price because she knows that the percentage increase in the quantity demanded will be greater than the percentage decrease in price.
- Toothpaste and toothbrushes are complements, so the _____ elasticity of demand is _____.
 - cross; positive
 - income; negative
 - cross; negative
 - income; positive
- If the income elasticity for chocolate chip cookies is 1.8, then chocolate chip cookies are
 - a normal good and income elastic.
 - a normal good and income inelastic.
 - an inferior good and income inelastic.
 - an inferior good and income elastic.
- The latest model car in the dealer's showroom has a sticker price of \$35,000.00. Fred, the shopper, has decided that he would pay no more than \$32,000.00 for the car. After two hours of bargaining with the saleswoman, Fred actually purchases the car for \$31,000.00. Fred, therefore, has obtained a consumer surplus of
 - \$1,000
 - \$4,000
 - \$32,000
 - \$35,000

See next page

9. At the current level of output, the marginal cost of pizzas exceeds the marginal benefit of pizzas. Compared to the allocatively efficient quantity we are producing too _____ pizzas and too _____ of other goods.

- A. few; little
- B. few; much
- ☒ C. many; little
- D. many; much

10. One important feature that distinguishes a public good from a private good is that

- A. only the government can produce public goods.
- ☒ B. it is impossible to prevent a person from enjoying the benefits from a public good.
- ☒ C. if you pay for a unit of a public good, you are guaranteed to be the sole consumer.
- ☒ D. if you consume a unit of a public good, there is one unit less for someone else. *→ common resource*

11. If there is an external cost from making paper, an unregulated competitive market produces

- A. less than the efficient quantity.
- B. the efficient quantity.
- ☒ C. more than the efficient quantity.
- D. a quantity that could be greater than, the same as, or less than the efficient amount.

12. Firms with market power tend to charge a _____ price and produce a _____ quantity than firms in a competitive market

- A. lower; greater
- ☒ B. higher; lower
- C. lower; lower
- D. higher; greater

13. Government policy designed to assist low-income families through welfare payments is intended to improve economic

- ☒ A. equity.
- B. efficiency.
- C. stability.
- D. allocation.

See next page

14. If the economy is in equilibrium while the government budget is in deficit and exports are greater than imports then, according to the circular flow model,

- ☒ A. saving is greater than investment.
- B. saving is less than investment.
- C. saving equals investment.
- D. saving could be greater than or equal to investment.

15. A variable that tends to move at the same time as aggregate economic activity is called

- A. a leading indicator.
- B. a lagging indicator.
- ☒ C. a coincident indicator.
- D. a procyclical indicator.

16. Choose the correct statement concerning gross domestic product (GDP).

- ☒ A. GDP can be equivalently viewed as either total income accruing from production of final output, or as total expenditures on final output.
- B. GDP is the total market value of all goods and services consumed in a year.
- ☒ C. The value of GDP can be found by adding together wages, consumption, investment, and net exports.
- ☒ D. Increases in real GDP indicate that each individual in society is better off than previously.

17. Jane just graduated with her degree in economics. Through Career Services she submitted her resume to several companies and she will visit them during the next two weeks. Jane is considered

- ☒ A. not in the labor force.
- ☒ B. frictionally unemployed.
- ☒ C. structurally unemployed.
- ☒ D. cyclically unemployed.

18. For the CPI to provide an accurate measure of the prices paid by consumers, it is necessary to

- A. assign equal weights to all the goods and services included in the market basket surveyed so that nothing is over-weighted.
- B. have prices stated in dollars so consumers can compare what they spend.
- ☒ C. have a market basket that is consistent and corresponds to what households actually purchase.
- D. change the market basket each month to reflect the changes that consumers make.

See next page

19. There is an increase in the minimum rate of employer superannuation contributions from 9% to 12% of wages. Which of the following is the most likely effect of this increase?

☒ A. Increased cost inflation
☐ B. Decreased cost inflation
☒ C. Increased demand inflation
☐ D. Decreased demand inflation

20. How are the foreign company dividends paid to Australian investors recorded on Australia's Balance of Payments?

☐ A. As a debit on the current account
☒ B. As a credit on the current account
☒ C. As a debit on the capital and financial account
☐ D. As a credit on the capital and financial account

21. Australia's mining boom has resulted in a significant increase in foreign investment. Which of the following shows the effects of this increase on Australia's Balance of Payments?

☒ A. An increase in the primary income deficit and an increase in the financial account surplus.
☒ B. An increase in the primary income deficit and a decrease in the financial account surplus.
☐ C. A decrease in the primary income deficit and an increase in the financial account surplus.
☒ D. A decrease in the primary income deficit and a decrease in the financial account surplus.

22. The table shows balance of payments data for an economy.

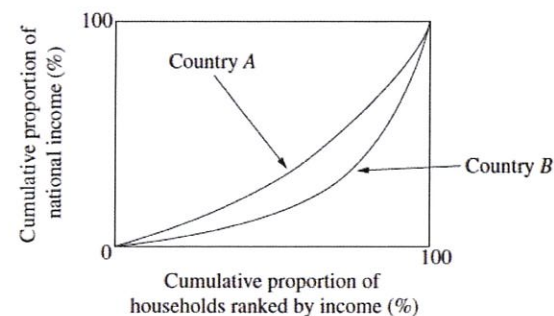
	\$ billion
Exports	?
Imports	-700
Net services	100
Net primary income	-150
Net secondary	-20
Balance on capital & financial account	200

What is the value of exports?

☐ A. \$330bn
☐ B. \$700bn
☒ C. \$570bn
☒ D. \$770bn

See next page

23. The diagram shows the Lorenz curves for Country A and Country B.



Which of the following statements is most likely to explain the different income distribution in Country A and Country B?

☐ A. Country A has higher rates of saving than Country B.
☒ B. Country A has higher GDP per capita than Country B.
☐ C. Country A has higher incentives for entrepreneurs than Country B.
☒ D. Country A has higher social welfare spending than Country B.

- Not counted in Lorenz curve

24. The table shows employment data for an economy

	Year 1	Year 2
Part-time employed persons	200 000	210 000
Full-time employed persons	600 000	640 000
Unemployed persons	100 000	110 000
Working age population	1 500 000	1 570 000

+10 000
+40 000
+60 000

Based on the data in the table, what is the change in the labour force between Year 1 and Year 2?

☐ A. 40 000
☐ B. 50 000
☒ C. 60 000
☐ D. 70 000

End of Section 1

See next page

Section Two: Data interpretation/Short response**(36 Marks)**

This section contains **three (3)** questions. Answer **all** questions. Write your answers in the spaces provided.

Spare pages are included at the end of this booklet. They can be used for planning your responses and/or as additional space if required to continue an answer.

- Planning: If you use the spare pages for planning, indicate this clearly at the top of the page.
- Continuing an answer: If you need to use the space to continue an answer, indicate in the original answer space where the answer is continued, i.e. give the page number. Fill in the number of the question that you are continuing to answer at the top of the page.

Suggested working time: 65 minutes.

Question 25**(12 marks)****Sad news for chocolate lovers**

Its sad news for chocolate lovers – the price of chocolate is rising! The amount of cocoa the world can produce is set to fall well behind the amount people are eating. Mars Inc., the world's biggest chocolate maker, says the gap will reach 1 million tons next year and will widen to 2 million tons by 2030. What's driving the rise in price? Both supply and demand factors. World incomes are rising, especially in the more populous countries of China and India. At the same time, drought and disease are having a devastating effect in some of the major cocoa growing regions of the world.

- a. With the aid of a diagram, explain the effect on the chocolate market of an increase in world income. (2 marks)

Diagram – 1m

↳ Rightwards shift in D curve
↳ New higher P_e and Q_e

Explanation – 1m

↳ Higher Y – $\uparrow D$, Expansion in Q_s
↳ Therefore, $\uparrow P_e$ and $\uparrow Q_e$

See next page

- b. With the aid of a diagram, explain the effect on the chocolate market of a new disease that affects cocoa production. (2 marks)

Diagram – 1m

↳ Leftward shift in S curve
↳ $\uparrow P_e$, Lower Q_e

Explanation – 1m

↳ New disease $\downarrow S$
↳ Therefore $\uparrow P_e$, lower Q_e .

See next page

This is a simultaneous shift.
Not tested in your curriculum.

- c. With the aid of a diagram, explain the combined effect of a rise in world income and a cocoa disease on the chocolate market. (3 marks)

See next page

- d. Is the demand for all chocolate likely to be price elastic or price inelastic? Is the demand for Mars chocolate bars likely to be price elastic or price inelastic? Give reasons for your answers. (5 marks)

State: Chocolate - Price inelastic - 1m

Reasoning: No close substitutes - 1m

State: Mars Chocolate Bars - Price Elastic - 1m

Reasoning: Many close substitutes - 1m

Explanation:

↳ Relating presence of close substitutes to price elasticity of demand.

See next page

Question 26**(12 marks)****Air pollution may affect students' grades**

High levels of emissions from cars, trucks and buses near your home could hamper a child's grades, according to a new study. The study has found that fourth and fifth graders in the United States who are exposed to toxic air pollutants at home, such as diesel exhaust are more likely to have lower school results. The evidence suggests that this association might exist because of illnesses, such as respiratory infections or asthma and that exposure to air pollution can negatively affect children's brain development.

- a. Refer to the extract to explain why air pollution from cars is an example of a negative externality. (2 marks)

Define negative externality — 1m

Name external costs associated with air pollution — 1m

- b. Distinguish between the private costs and the social costs of the motor vehicle industry. (2 marks)

Private costs: costs incurred by private producer — E.g. cost of parts. — 1m

Social costs: costs incurred by the society as a result of the production of cars — 1m

E.g. Medical costs as a result of pollution

* Need examples.

See next page

- c. With the aid of a diagram, show the effect of the negative externality on the motor vehicle industry. (4 marks)

Correct diagram — 1m

Explanation: — 3m

- $MSC > MPC$

- Efficient production level is lower than actual production

- Results in overproduction

- Dead weight loss due to overproduction

See next page

- d. With the aid of a diagram(s) (if applicable) explain two policies that the government could use to overcome the negative externality. (4 marks)

Tax on production of motor vehicles

- Diagram - Im

- Explanation - Im

↳ Internalising the externality

Implementing a quota

- Diagram - Im

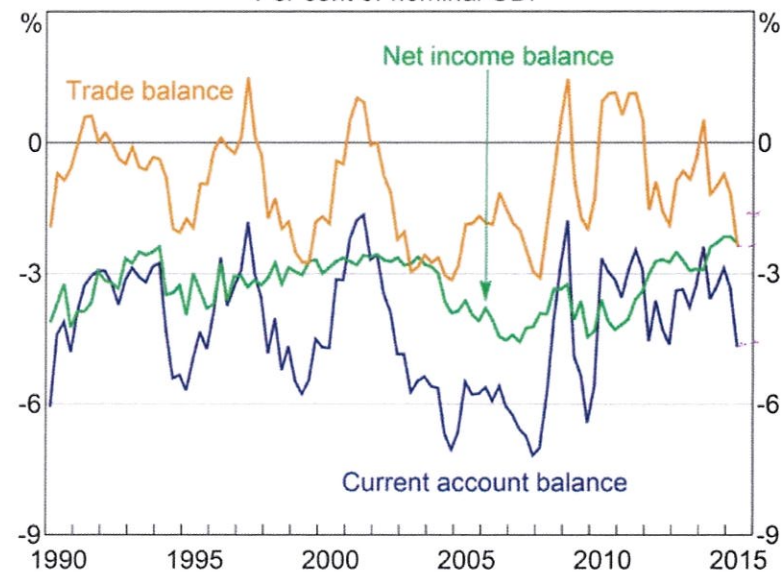
- Explanation - Im

Question 27

(12 marks)

Current Account Balance

Per cent of nominal GDP



Source: ABS

- (a) (i) Define the term 'Trade Balance'. (1 mark)

Balance of goods and services that are traded

- (ii) What was the trade balance in 2015? (1 mark)

~ -2% ($\pm 0.1\%$) of nominal GDP

See next page

(iii) What was the Capital and Financial Account Balance in 2015? (1 mark)

4.5% of nominal GDP

(b) Describe the components of the current account. (3 marks)

Name + Example for Im

- ↳ Goods
- ↳ Services
- ↳ Income (Primary + Secondary)

(c) Why does Australia have a Current Account Deficit and discuss the implications of a Deficit. (6 marks)

*Will not
be tested
in exam
↓
Not in
curriculum.

Suggested reasons →
~~CAD = KEAS~~ → Savings & Investment gap

End of Section 2

See next page

Section Three: Extended response**(40 Marks)**

This section contains **four (4)** questions. You must answer **two (2)** questions. Write your answer on the lined pages provided.

Suggested working time: 80 minutes.

Question 28**(20 marks)**

- a. Use appropriate model(s) to explain the difference between a price ceiling and a price floor and explain the impact on producers and consumers. Use examples to explain why the government may want to introduce these price regulations into a market and use your models to explain the effects on both price and quantity. (12 marks)
- b. Use appropriate model(s) to explain why both taxes and subsidies are inefficient. (8 marks)

Question 29**(20 marks)**

- a. Describe the factors which affect the Price Elasticity of demand. (10 marks)
- b. Explain why knowledge of elasticity of supply and elasticity of demand is important to business and government. (10 marks)

Question 30**(20 marks)**

- a. Explain the concepts of equity, simplicity and efficiency as they relate to the tax system in Australia. Discuss whether the Personal Income Tax and the Goods and Services Tax (GST) are equitable, simple and efficient. (10 marks)
- b. Explain how the government uses the tax and welfare system to try to achieve a more equitable distribution of income. (10 marks)

Question 31

- a. Describe the components of aggregate expenditure. (8 marks)
- b. Describe why investment is more volatile than the other components of aggregate expenditure. (12 marks)

End of Exam

↑
Modify
marks to
reflect
breakdown.

Q28

a) Price ceiling & Price floor - 6m each

For each:

Defⁿ - 1m

Explain w examples - 1m

Diagram - 2m

Explain effects - 2m

b) Taxes & Subsidies - 4m each

For each:

Defⁿ - 1m

Diagram - 1m

Explanation of impacts - 2m

↳ Impact on P & Q

↳ Impact on consumer & producer surplus

↳ Discuss deadweight loss.

Q29

a) Define PED - 1m

For each factor, describe w examples for 2m (Max 9m)

→ Share of income

→ No. of close substitutes

→ Response time

→ Necessities VS Luxuries

→ Definition of market.

b) Define PES - 1m

Discuss PES - Max 5m

→ Businesses: Awareness of impact if P changes.

→ Govt: Understanding impact of a tax / subsidy

Discuss PED - Max 5m

→ Businesses: Know how revenue will change if P changes.

→ Govt: Understanding impact of a tax / subsidy.

Q30

a) Define & explain for 1m each

- Equity
- Efficiency
- Simplicity

Discuss Personal Income Tax: Max 4m

- Describe
- Measure against criteria ~~the~~ each
 - ↳ Equity
 - ↳ Efficiency
 - ↳ Simplicity

Discuss GST: Max 4m

- Describe
- Measure against criteria

b) Describe more equitable distribution of income - 1m

Define:

- Horizontal equity - 1m
- Vertical equity - 1m

Describe tax system and relate to equity: Max 3m.

Describe welfare system and relate to equity: Max 4m.

- ↳ Forms of welfare
- ↳ Impact on vertical and horizontal equity.
- ↳ Impact on income.

Q31

a) Define AE - 1m
for each component, define with examples
and describe proportion of GDP spent
on the component for 2-3m each (Max 9m)

- Consumption - Non-durables, Durables, Services
- Investment
- Government expenditure - G1 & G2
- Net exports.

b) Describe factors affecting Investment with examples

- Business expectations
 - Interest rates
 - Level of past profits
 - Govt policies
- } 2m each

Discuss ~~the~~ concept of risk - 2m

- Future holds risk.
- What firms think about future affect how they invest.